

Commentary on Chapter 7

It requires a great deal of boldness and a great deal of caution to make a great fortune; and when you have got it, it requires ten times as much wit to keep it.

—*Nathan Mayer Rothschild*

Timing is Nothing

In an ideal world, the intelligent investor would hold stocks only when they are cheap and sell them when they become overpriced, then duck into the bunker of bonds and cash until stocks again become cheap enough to buy. From 1966 through late 2001, one study claimed, \$1 held continuously in stocks would have grown to \$11.71. But if you had gotten out of stocks right before the five worst days of each year, your original \$1 would have grown to \$987.12.^{[1](#)}

Like most magical market ideas, this one is based on sleight of hand. How, exactly, would you (or anyone) figure out which days will be the worst days—*before* they arrive? On January 7, 1973, the *New York Times* featured an interview with one of the nation's top financial forecasters, who urged investors to buy stocks without hesitation: "It's very rare that you can be as unqualifiedly bullish as you can now." That forecaster was named Alan Greenspan, and it's very rare that anyone has ever been so